

DISSENTING OPINION BY M. DE BUSTAMANTE.

I.

[*Translation.*]

According to Article I of the Special Agreement, there are two opposing contentions, that of the Serbian Government which claims the right to effectuate the service of its 4 % 1895, 5 % 1902, 4½ % 1906, 4½ % 1909 and 5 % 1913 loans in French paper francs, and that of the French Government, which puts two questions :

(a) As regards the Serbian 4 % loan of 1895, whether holders are entitled to obtain at their free choice payment of the amount of their coupons and of their bonds drawn for redemption and those to be so drawn, in Paris, London, Berlin, Vienna, Geneva and Belgrade.

(b) With regard to the 5 % 1902, 4½ % 1906, 4½ % 1909, 5 % 1913 loans, and subsidiarily with regard to the 4 % 1895 loan, whether holders are entitled to obtain payment of their coupons and of their bonds in gold francs at Belgrade, Paris, Brussels and Geneva, or in the equivalent value of the said amount at the exchange rate of the day in the local currencies at Berlin, Vienna and Amsterdam, in so far as concerns the 1902, 1906 and 1909 loans.

(c) Lastly, how the value of the gold franc is to be determined as between the Parties for the above-mentioned payments.

If the Serbian Government's arguments were accepted, all the other questions would at once fall to the ground, and it would be useless to consider them in detail. We must therefore first refer to the Serbian argument, which is based on two different points of view, the one which asserts that payment in gold was not stipulated for by the contracting Parties, and the other that, if it had been stipulated for, the law applicable to such a stipulation permits the Serbian Government to make payment in French francs.

Being always guided by a desire not to complicate problems needlessly, I think it preferable to begin my opinion by considering the latter question. If, in spite of the provision for payment in gold, the Serbian Government had the right to pay its debt in paper francs or in present-day gold francs,

it would be quite useless to consider whether that Government is or is not expressly bound to make payment in gold, and how the value of the gold franc shall be determined as between the Parties.

II.

Two facts which, in substance, lead to the same result as regards the holders of bonds or coupons of the Serbian 1895 loan, must first be made clear. Can payment of this 4 % 1895 loan be demanded at London and Geneva?

To begin with London: in Article 1 of the Serbian law of July 8th/20th, 1895, on the conversion of a public debt by the issue of a new loan, the pound sterling is mentioned at the same time as other foreign currencies in regard to the total of bonds and coupons. In execution of this law, a contract was signed at Paris on April 3rd/15th, 1896, between the Serbian Government and certain banks; Article 1 clearly separates the different blocks of the loan by stating the amount of the bonds quoted and negotiable at Paris and Berlin and that of the bonds to be subsequently given a quotation on the Paris, Berlin, London and Brussels markets. The bonds placed in circulation for France do not mention London as place of payment of coupons or of the principal sum due.

By a Protocol concluded at Paris on June 27th/July 9th, 1897, an issue was made in London of a block of £1,000,000 STERLING. These bonds only, and not the others, contain a special statement to the effect that principal and coupons of each of the bonds of this block shall be paid in London by Parr's Bank Limited.

It therefore seems clear that the contracting Parties were agreed on the fact that only a part of the bonds of the loan should be paid in England; and holders whose bonds do not mention LONDON or POUNDS STERLING can never have thought of being paid in England. More than thirty years afterwards, it is somewhat difficult to change this state of things.

III.

It is still clearer that Geneva is not amongst the places where these payments of the 1895 loan were to be made. The mention of Geneva as place of payment does not occur in the law or on the bonds or coupons, but only in a prospectus dated six years after the issue and as regards which no proof has been furnished that it was approved by Serbia. The quotation of the bonds on the Geneva Exchange, as in any other country, does not in any way lead to suppose that the payment of coupons and redeemable bonds is to be made at that place.

IV.

We must therefore now enter upon the consideration and the decision of the principal problem which dominates all others :

How, as regards currency, are payments of all these loans to be made ?

To answer this question, it is above all important to determine in advance what rules of law are applicable to the problem. We have to do with public loans of the Serbian State, which were issued abroad through negotiations with banks and foreign bankers, and the holders of which, or some holders, are French citizens. The French Government undertakes the representation and defence of the holders, but it has no other interest. It could bring forward no argument that could not have been raised by the holders and rely on no rights save those of the said holders.

The manner in which a State can act in regard to the recovery of the public debts of another State has been a subject of the doctrine and rules of International Public Law. It suffices to mention the doctrine of M. Drago and the treaty drafted at the Second Hague Peace Conference in 1907. But as regards the relations between the debtor State and foreign bankers or holders, there are not, and could not be, any rules or doctrine in international public law.

The question is one of a loan, i.e., a civil or, in some circumstances, commercial contract, the purely private legal nature of which cannot be changed between the contracting Parties owing to the fact that the debtor or borrower happens to be a State. For all difficulties of a legal nature that may arise between these contracting Parties, there must be rules of private law which, drawn from a particular legislation, fix the limits in space of each national law, if there is a possibility that two or several laws may be rendered applicable.

In contracts, both as regards their provisions and their execution, two different laws, or better, two different rules, may be invoked or applied. On the one hand, the sovereign will of the Parties who adopt a particular law or freely determine their wishes as to each detail of their affair. These wishes, from the point of view of the selection of the law applicable, may be express, or tacit, or presumed, and the law of the place of contract, of the place of execution, and the others which are often spoken of in treatises on these questions, amongst which must be mentioned as most important the law of the borrower, since we have here a contract of adhesion, come within the sphere of legal presumptions.

On the other hand, there are matters which are outside the will of the Parties and which require the application of imperative and territorial legal provisions. Amongst these matters, according to the almost unanimous opinion of authors and the decisions of the courts in the countries to which the dispute before us relates, are classed the form, the currency and the method of payment.

The Code of International Private Law, to which the Agents of the Parties refer in their argument, lays down in Article 166 the following rule:

“Those obligations arising from contracts have force of law as between the contracting Parties and should be discharged in accordance with the terms thereof with the exception of the limitations established by this Code.”

Article 169 says:

“The nature and effect of the various classes of obligations, as well as the extinction thereof, are governed by the law of the obligation in question.”

But Article 170 is careful to add :

“Notwithstanding the provisions of the preceding article, the local law regulates *the conditions of payment and the money in which payment shall be made.*”

In the case before us, we must therefore begin by considering the legislation of the country in which payment was to be made, in this case especially French legislation, and must abide by any binding rule laid down on this subject at the time when the loan contract began to produce its effects. The law must govern the contract from the first moment of its existence, and therefore must be the same as if the case had been decided by a competent municipal court.

V.

As regards France, the law in force is quite clear and does not require interpretation. Article 1895 of the Civil Code runs as follows :

“The obligation resulting from a loan in money is *always* simply for the amount in figures indicated in the contract, and if there has been an increase or diminution of specie before the time of payment, the debtor must return the amount in figures lent, *and must return only this amount, in the specie in currency at the time of payment.*”

The Belgian Civil Code is the same Code Napoléon and therefore contains the same article 1895.

As regards Switzerland, in the two Federal Codes concerning the law of Obligations dated January 1st, 1912, and June 14th, 1881, we find, with slight modifications that are without importance as regards our case, an article numbered 84 in the former Code, and 97 in the latter ; the 1912 text is here reproduced :

“The payment of a debt which consists of a sum of money shall be made in the currency of the country. If the contract specifies a currency which is not legal tender at the place of payment, the debt may be paid in the currency of the country at the rate of exchange on the date it falls due, unless the literal execution of the contract has been provided for by means of the words ‘*actual value*’ or by some similar expression.”

There is no doubt for us as regards the international character of these rules.

Owing to the motives of a general economic nature on which they are based and for other not less important reasons, authors and jurisprudence in the countries concerned have always given them the character of territorial rules or, using a synonymous expression, relating to international public policy.

In this connection, mention was made during the arguments of our eminent and regretted colleague, M. André Weiss, who also refers to several authorities.

VI.

There is another point to be noted.

At the time when the Serbian loans were issued, Article 1895 of the French Civil Code was in force. This article gave to the borrower the right, and imposed on him the duty, as regards payments to be made in France, of assuming, at the moment of each payment, the consequences arising from the increase or diminution of the value of the currency, in the one case to his own advantage, in the other to the advantage of his creditors.

This situation in law was an acquired right for the borrower and for the holders of bonds and coupons, and could not be changed by subsequent legislation which had no retroactive effect as regards these loans. The law of the holders could not change its provisions by specifying at the moment when the currency was modified that this change would not be applicable to the borrower, or as a general rule to the cases in which he was included. Subsequent rules modifying his established situation cannot be invoked against him.

VII.

Since a claim by the French Government and the rights of French holders are concerned, we must note that at the time when the loans were issued, from 1895 to 1913, the French franc was absolutely stable and its gold value could not be questioned. In France there were bank-notes, and they were legal tender; but as these notes must be repaid at par by the Bank

of France and as there existed no important differences between the gold rate and silver rate, the question of payments in gold or notes that were legal tender was without practical importance.

During the world war a new French law of August 5th, 1914, had freed the Bank of France and the Bank of Algeria from the obligation to return specie for their notes. France certainly had the right to take such a step, and no one thought of opposing this change in the legal tender, which thus became forced currency.

But this new monetary situation had to be adopted with all its consequences, and contracts in force had to be interpreted in conformity with Article 1895 of the Civil Code which was in force.

Article 1895 of the Code was framed precisely for these cases. Whether that rule be good or bad in doctrine or in theory, it was the law: *Dura lex, sed lex*.

Since ignorance of the law cannot be pleaded, all the holders of bonds or coupons of Serbian loans must be taken as knowing that, according to the law in France, the obligation resulting from a loan in money is *always* simply for the amount in figures indicated in the contract, and if there has been an increase or diminution of specie before the time of payment, the debtor must return the amount in figures lent, *and must return only this amount, in the specie in currency at the time of payment*.

What I have written here is merely a literal copy of Article 1895 of the French Civil Code.

The French courts, having regard to national rather than adopting an international point of view, hesitated as to the solution to be given in the case of obligations entered into abroad but to be executed in France, and finally drew a series of distinctions on this point; but it does not appear that the doctrine of acquired rights as regards contracts in which payment is provided for subject to the provisions of Article 1895, has ever been questioned or even discussed by the Parties or by the judgments. No one seems to have claimed before the French courts in the cases in question that

their contracts were signed at a moment when all must have thought or could have thought that the money in which payment was to be made in France would be the currency legally placed in circulation by the French Government, and that the debtor was only bound to repay that sum in the currency current at the time of payment.

VIII.

The French law of June 25th, 1928, decided that the French monetary unit, the franc, should be constituted by 65.5 milligrams of gold, nine hundred thousandths fine:

“This definition”, it added, “shall not apply to international payments which, prior to the promulgation of the present law, may have been validly stipulated in gold francs.”

Why did the law of June 25th, 1928, make this declaration?

It cannot be understood without admitting that it is French law which must determine the method of payment. If we suppose that the will of the Parties, in speaking simply of *gold francs*, ensures that payment shall be in gold of the weight and fineness then in force, whatever be the provisions of Article 1895 of the French Civil Code, the rule laid down by the law of June 25th, 1928, which I have just quoted, is useless and incomprehensible.

This new law, then, is, from the point of view of the application of French legislation on methods of payment to these loans, undoubtedly a very serious argument.

It therefore seems evident that the said law had the purpose of implicitly derogating from Article 1895 of the French Civil Code, to the prejudice of debtors who entered into contracts when that article was in force. But there is another thing equally important. The Special Agreement concerning the Serbian loans was signed at Paris on April 19th, 1928, and it cannot be admitted that one of the Parties should, two months later, have the right to decide in its favour by a provision of municipal law the question submitted to the Court or to put forward that law, which is its own work,

accomplished after the Special Agreement, as a favourable argument.

IX.

The question of gold currency and its mention in the laws, contracts, and bonds referring to these loans loses all its importance once we adopt the legal position that we have developed.

If payment is subject to the law of the place where it is made, as concerns the currency in which the debtor must pay, the Serbian State can only be obliged to deliver gold in the cases where gold currency is legal tender at the date of each payment, at the place where payment is made.

I would, however, beg to add a few words as to the expression GOLD FRANC of which much has been said. In my opinion, since the bonds and coupons were to be paid in several countries, and many of these, for instance Belgium, France, Switzerland and even Serbia (under the denomination DINAR) had that currency, the GOLD FRANC without any qualification is referred to in order to indicate the currency of these four countries and of each of them.

That is the meaning to be given to:

(a) paragraph 4 of Article 1 of the law of July 8th/20th, 1895: "The payment of matured coupons and bonds drawn for payment shall be in gold at the places appointed therefor *at the holders' option* and in the gold currency of the respective countries";

(b) paragraph 4 of Article 1 of the contract of August 23rd/September 15th, 1902: "All payments shall be in gold francs at Belgrade, Brussels, Paris and Geneva";

(c) the same paragraph in the other contracts;

(d) the coupons and bonds of the loans.

It must be added that when places at which payment is only to be made in the lawful currency are referred to, *inter alia*, Berlin, Vienna and Amsterdam, it is never said that payment shall be in the currency of the country at the rate of exchange of the gold franc, but only at the rate of exchange on Paris. This is the completest possible proof of the intention of the Parties when they refer to the gold

franc, for it cannot be supposed THAT, AT THE TIME OF ISSUE OF A LOAN, EVIDENT DIFFERENCES AS TO PAYMENT OF COUPONS IN DIFFERENT PLACES CAN HAVE BEEN ACCEPTED.

And precisely the fact that, as regards payment at Berlin, Vienna, etc., reference is to be made to the rate of exchange on Paris, leads to suppose that the rate of exchange on Paris is excluded as regards places where that rate is not mentioned. In other words, the argument as to the French franc for payments at Brussels, Belgrade, etc., cannot be admitted.

On the other hand, when the State itself is a contracting Party, as in the Treaty of Versailles or the Universal Postal Union, it may very well establish for its own use these differences between the gold franc and the national currency, which differences are outside the power of other States and individuals who purchase the bonds.

X.

It might be objected that, as bearers have the choice of the place in which they receive payment of coupons and bonds due, they might profit by this right and receive it to-day, for instance, at Geneva as regards most of the loans, or at Berlin as regards one of them, and thus practically receive the gold francs in question. That is true, but it also demonstrates to what extent we are concerned with law and justice and not with actual results. If, in accordance with a clear and precise rule, any particular result is arrived at, this has nothing to do with the question put.

XI.

To sum up: in accordance with what I have said, the questions in the Special Agreement should, in my opinion, be answered as follows:

(a) The Government of the Kingdom of the Serbs, Croats and Slovenes must effect payment of the 4 % 1895, 5 % 1902, 4½ % 1906, 5 % 1913 loans in accordance with the local law as regards method of payment in the currency in circulation,

legal tender or forced tender, at the time of such payment in each of the places in question.

(b) Holders of bonds of the Serbian 4 % 1895 loan issued in England dated London, October 1897, and containing the special passage, alone have the right to demand and obtain payment at London in the money there current.

(c) Holders of bonds of the Serbian 4 % 1895 loan have not the right to demand payment of these bonds at Geneva.

(d) Holders of bonds of this Serbian 4 % 1895 loan, subject to what has been said as regards the English portion, have the right to receive payment of the nominal amount of their coupons due for payment but not paid and of those subsequently falling due, as also of their bonds drawn for redemption but not refunded and of those subsequently drawn at their choice at Paris, Belgrade, Berlin and Vienna, in the currency that is legal or forced tender at the time of payment at the place where payment is made, in accordance with the local law in force as to the methods of payment at the time when each loan was issued.

(e) Holders of the Serbian 5 % 1902 and 4½ % 1906 loans have the right to obtain the payment mentioned in paragraph (d) at their choice at Paris, Belgrade, Brussels and Geneva in the currency that is legal or forced tender at the time of payment at the place where payment is made, or at Berlin, Vienna and Amsterdam in the respective currencies of these towns at the rate of exchange on Paris.

(f) Holders of bonds and coupons of the Serbian 4½ % 1909 loan have the same right as holders of bonds of the 5 % 1902 and 4½ % 1906 loans and, further, the right to be paid at Frankfort-on-the-Main, Hamburg and St. Petersburg at the rate of exchange at sight on Paris, in accordance with Article 1 of the contract entered into on October 9th, 1909, between the Royal Serbian Government and the banks, and also in accordance with the text of the coupons.

(g) Holders of bonds and coupons of the Serbian 5 % 1913 loan have the same rights as holders of bonds of the Serbian 5 % 1902 and 4½ % 1906 loans, with the exception of the right to payment in Amsterdam.

(h) In view of the arguments contained in the judgment, it is purposeless to determine how the value of the gold franc shall be arrived at between the Parties for the purpose of the above payments.

(Signed) A. S. DE BUSTAMANTE.
